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Secure Distribution Venture Pvt. Ltd.

What Is Bridge Funding ?

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Module 1: Theoretical Foundations and Product Philosophy of Bridge Funding

A Bridge Loan is a highly structured, short-tenure debt facility—typically ranging from 3 to 18 months—specifically designed to fund a time-bound cash flow gap between an immediate funding requirement and a contracted, near-term liquidity inflow. In the Indian financial ecosystem of 2026, bridge funding has transitioned from its historical origins as a specialized real-estate-only financing tool into a versatile, mainstream corporate finance instrument. It is widely leveraged by high-growth startups, mid-market SMEs, and major real estate developers to manage temporary liquidity transitions without diluting equity or halting critical operations.

The core philosophy of Bridge Funding centers on the existence of a definitive, verified Takeout Event. Unlike conventional open-ended credit lines or long-term amortizing term loans, a bridge loan is never intended to be repaid from general business operating cash flows. Instead, its underwriting, risk pricing, and structure are completely aligned with a contracted event that is guaranteed to liquidate the entire outstanding principal at maturity. This takeout event can take several distinct forms: a sanctioned term loan from a major commercial bank, an incoming equity tranche (such as a Series B or C round) from registered venture capital funds, a contracted sovereign or municipal receivable, a sovereign GST refund, or a foreign direct investment (FDI) inflow pending regulatory approval under FEMA guidelines.

For a rookie credit officer, it is crucial to understand that in Bridge Funding, the primary subject of credit underwriting shifts away from the borrower's historical balance sheet strength and toward the transaction quality and execution velocity of the takeout event. The central underwriting question is not whether the borrower has large physical assets to pledge, but rather: 'How certain is the takeout event, and what is the risk of the timeline slipping?' This event-risk focus is why bridge loans carry higher pricing spreads than standard bank loans. Because the lender is carrying the execution and timeline risk of an unclosed financial transaction, the interest rates (typically 15% to 24% p.a.) reflect the speed, flexibility, and structuring complexity required to bridge the gap.

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Module 2: Structural Comparative Taxonomy (The Credit Matrix)

To properly position Bridge Funding within the broader commercial credit spectrum, rookies must be able to contrast it against alternative working capital and capital expenditure credit facilities. The following table provides a robust comparative matrix mapping Bridge Loans against standard Cash Credit (CC) Facilities, Working Capital Demand Loans (WCDL), and Traditional Term Loans across critical structural, commercial, and regulatory parameters.

Parameter	Bridge Loan (STBL)	Cash Credit (CC)	WCDL Tranche	Traditional Term Loan
Primary Intent	Short-term gap financing pending a definitive takeout event.	Revolving daily cash flow support for operating inventory and receivables.	Transaction-backed short-term tranches within a working capital limit.	Long-term capex, asset creation, and plant/machinery procurement.
Repayment Structure	Bullet principal repayment upon takeout event execution.	Revolving balance with annual renewal; payable on demand.	Bullet repayment on maturity (typically 30 to 180 days).	Periodic (monthly/quarterly) equal principal and interest installments.
Pricing Spreads	Premium (15% to 24% p.a.) reflecting event risk.	Moderate (9.0% to 12.0% p.a.) linked to EBLR / MCLR.	Favorable (8.5% to 11.0% p.a.) due to strict end-use controls.	Stable (8.5% to 10.5% p.a.) amortized over long tenures.
Security / Collateral	Escrow over takeout proceeds, share pledges, or property charges.	Hypothecation of inventory and book debts; secondary real estate.	Hypothecation of specific trade inventory or invoice escrows.	First charge on the fixed assets acquired; primary mortgages.
Typical Tenures	3 to 18 months maximum.	12 months with annual rollover review.	30 to 180 days per tranche.	3 to 15 years maximum.
Balance Sheet Classification	Current Liability (short-term debt due within 12 months).	Current Liability (revolving working capital credit line).	Current Liability (short-term fund-based demand loan).	Non-Current Liability (long-term amortizing debt).

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Module 3: The End-to-End Operational Lifecycle of Bridge Funding

The operational execution of a Bridge Loan in India follows a highly disciplined,

transaction-specific path. Because of the compressed timelines and high risk of delay, lenders and borrowers must strictly adhere to the following 5-Phase operational lifecycle:

1. Bridge Identification and Sizing Phase: The borrower models their weekly cash budget to identify the exact liquidity gap. Lenders mandate that the bridge loan size is strictly restricted to the minimum operational requirement. Over-borrowing to 'build in a buffer' is heavily discouraged as it inflates processing fees and creates an unnecessarily large bullet repayment obligation. An operational buffer of 15% to 20% of monthly operating burn is typical.

2. Underwriting the Takeout Event: This is the most critical stage. The credit committee inspects the binding evidence of the takeout event—such as a signed, non-binding term sheet for equity, a formal bank sanction letter, a RERA-registered escrow agreement, or a foreign buyer's irrevocable Letter of Credit. The underwriter stress-tests the closing timeline, assessing potential delays in regulatory approvals (e.g., FEMA filings, SEBI approvals, RERA registrations) or legal due diligence.

3. Security Creation and Charge Registration: Upon sanction, the legal team creates the security package. Lenders register their priority charge using Form CHG-1 on the Ministry of Corporate Affairs (MCA) V3 portal within 30 days of charge creation (under Section 77 of the Companies Act, 2013). Simultaneously, mortgages or hypothecations are registered on the CERSAI portal within the same 30-day statutory window to insulate the lender from third-party claims during liquidation.

4. Disbursement & Tranche Controls: To prevent capital diversion, funds are disbursed in tranches into a monitored escrow account. Disbursements are directly tied to documented operational milestones (e.g., land parcel payments, raw material purchase orders, vendor invoices, or direct salary payroll sweeps). Direct-to-vendor RTGS transfers are commonly executed by the bank to ensure strict end-use compliance.

5. Takeout Execution and Settlement: Once the takeout event closes, the incoming capital is routed directly into the designated collections escrow account. Under irrevocable tripartite instructions, the escrow agent executes a priority 'sweep' to repay the entire outstanding principal, accrued interest, and exit fees of the bridge loan. Only after the bridge facility is fully liquidated is the surplus cash released to the borrower's general current account.

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Module 4: Transactional Credit Underwriting & Key Risk Metrics

Underwriting a Bridge Loan requires a fundamental shift in analytical mindset from traditional 'balance-sheet lending' to 'transaction-level underwriting.' While traditional lending evaluates historical profit and loss records, debt-to-equity ratios, and physical asset values, bridge underwriting focuses on the structural viability of the cash flow transition. Underwriters use specific quantitative and qualitative risk metrics to evaluate proposals:

1. Credit & Debt Ratios: Underwriters analyze the borrower's leverage multiples and cash flow certainty. In the case of non-financial corporate borrowers, a maximum debt-to-equity ratio of 2:1 and a total outside liabilities to tangible net worth (TOL:TNW) of 4:1 serve as broad benchmarks. Promoters must demonstrate clean personal credit histories, verified by personal CIBIL scores of 700 or above. For MSMEs, CIBIL MSME Ranks (CMR) between 1 and 4 are preferred. Furthermore, the interest coverage ratio must remain above 1.25x to ensure that minor delays do not trigger technical default.

2. Debt Delivery & Amortization: Lenders rely on the cash budget method for sizing the limit, looking closely at bank statement velocity via the Account Aggregator network. For corporate borrowers, the credit limit must be backed by appropriate regulatory resolutions: a board resolution under Section 179 of the Companies Act, 2013, authorizing the borrowing, and a shareholder resolution under Section 180(1)(c) if the aggregate borrowing exceeds the paid-up capital and free reserves.

3. Risk Underwriting Filters & Covenants: Underwriters establish rigorous credit filters to screen out weak or restructuring cases. Under standard credit policies (such as SG Finserve's Credit Policy), no funding is considered if the borrower has active defaults or is appearing on RBI's Willful Defaulters list or ECGC's caution list. Underwriters evaluate previous restructuring history (CDR, BIFR, OTS) very carefully; if an account was restructured in the past, it must have demonstrated at least 2 to 3 years of satisfactory, regular repayment conduct prior to bridge loan consideration.

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Module 5: Legal Security Architecture, Charge Creation, and CERSAI Guidelines

The security and legal architecture of a Bridge Loan is designed to insulate the lender from execution-level delays, third-party insolvency events, or developer/promoter bankruptcy. The legal framework relies on several statutory pillars in India:

1. Absolute Assignment of Actionable Claims: Under Section 130 of the Transfer of Property Act, 1882, the borrower executes an absolute assignment of their actionable claims—specifically, the contracted proceeds from the takeout event. This assignment legally transfers the right to receive the takeout capital directly to the lender. Once the assignment is executed and express notice is served to the takeout provider (e.g., the venture capital fund or the term loan bank), they are legally bound to remit the funds directly into the lender's designated escrow account, bypassing the borrower's balance sheet.

2. MCA Charge Registration & Companies Act Compliance: Under Section 77 of the Companies Act, 2013, the borrower must register the security charge created in favor of the lender (whether a mortgage over real estate, a hypothecation over receivables, or a pledge over shares) by filing Form CHG-1 on the MCA V3 portal. This registration must happen within 30 days of charge creation. An unregistered charge is legally void against a liquidator, which means the lender would be treated as an unsecured creditor in the event of the borrower's bankruptcy under the Insolvency and Bankruptcy Code (IBC), 2016.

3. CERSAI Charge Filings: Under the SARFAESI Act, 2002, any security interest created over immovable property or hypothecated current assets must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) portal within 30 days of creation. This public registration acts as constructive notice to the entire financial system, preventing the borrower from mortgaging the same asset twice to different lenders.

4. Cross-Border & FEMA Guidelines: Under the Foreign Exchange Management Act (FEMA), 1999, and RBI's Master Directions on External Commercial Borrowings (ECB), short-term cross-border bridge funding is highly restricted. Specifically, the ECB framework mandates a Minimum Average Maturity Period (MAMP) of 3 years for most foreign currency loans. Therefore, short-term foreign currency loans (under 1 year) are legally prohibited from being raised directly as trade or project bridges from overseas lenders. Borrowers must rely on domestic funding channels (such as domestic NBFCs, family offices, or SEBI-registered Category II AIFs) to bridge foreign equity inflows.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

In India's trade and corporate credit markets, bridge loans are highly concentrated across five core transactional use cases:

1. Startup Runway Extensions: Highly scaled, venture-backed startups often face closing delays (4 to 6 months) between signing a Series B/C term sheet and the actual cash disbursement due to extensive legal due diligence, FEMA compliance checks, or shareholder approval loops. Bridge venture debt from Category II AIFs acts as an invaluable buffer.

2. Promoter-Led FDI Inflow Gaps: Indian promoters receiving foreign direct investment under FDI rules must wait for regulatory approval queues. Bridge loans from domestic NBFCs allow immediate capital deployment for operational targets with the incoming foreign capital as the takeout.

3. Real Estate Land Acquisitions: Real estate developers must buy and secure land parcels within tight contractual windows (typically 30 to 45 days). Since bank-sanctioned construction term loans require RERA registrations, escrow setup, and property registration (which takes 90 to 120 days), short-term land bridges from NBFC-HFCs provide the necessary speed.

4. SME Working Capital against Contracted Export Orders: When an SME wins a large corporate or export order, it must procure raw materials immediately. Since standard bank working capital lines take weeks to assess and set up, bridge loans against confirmed purchase orders or foreign buyer letters of credit provide immediate operational liquidity.

5. M&A Earnest Money Deposits: During corporate acquisitions, buyers are required to deposit earnest money (typically 10% of deal value) within 15 days of signing the Share Purchase Agreement (SPA). Since bank-sanctioned acquisition loans take 45 to 60 days to close, bridge loans cover this gap without disrupting internal cash reserves.

Citing commercial credit data from SIDBI's MSME Pulse and RBI reports, we observe that Retail and Wholesale Traders represent the largest segment of working capital borrowers (representing 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment). This segment faces intense cash flow mismatches, driving high demand for digital, transactional finance. This is also supported by the rapid growth of large digital supply chain finance schemes, such as SBI's Electronic Dealer Financing Scheme (e-DFS) at ₹49,261 Crores and Electronic Vendor Financing Scheme (e-VFS) at ₹28,092 Crores, illustrating the massive scale of flow-based commercial lending in the country.

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Module 7: Commercial Pricing Mechanics and Financial Models

Rookies must understand that a higher pricing structure is a feature of Bridge Loans, not a defect. Because the lender is absorbing high event risk, executing under compressed timelines, and offering customized flexibility, the pricing reflects this value. The pricing stack consists of several key components:

1. Interest Rates: Interest rates typically range between 15% and 24% p.a., calculated on a daily reducing balance basis. The exact rate is highly sensitive to the takeout event's certainty and the credit rating of the takeout provider (e.g., a sovereign buyer vs. an unrated private startup).

2. Upfront Arrangement & Processing Fees: Lenders charge processing or arrangement fees ranging from 1.0% to 2.5% of the sanctioned loan amount, payable upfront upon signing the loan agreement. Under the CGST Act, 2017, these fees are treated as financial service charges and attract a standard 18% GST (under SAC Code 99711), which is fully recoverable as an Input Tax Credit (ITC) for registered businesses.

3. TDS Compliance (Section 194A): Under Section 194A of the Income-tax Act, 1961, corporate borrowers are legally mandated to deduct Tax Deducted at Source (TDS) at the rate of 10% (or 20% if the lender fails to provide a PAN) on all interest payments made to NBFCs, private credit funds, or family offices. Lenders who are SEBI-registered Category II AIFs may have separate TDS treatments depending on their trust structure. It is vital for borrowers to file TDS returns and deposit the tax by the 7th of the following month, as failure to comply triggers penal interest of 1.5% per month and potential disallowance of the interest deduction under Section 40(a)(ia).

4. Tax Treatment (Section 36(1)(iii)): Interest paid on a bridge loan is fully deductible as a legitimate business expense under Section 36(1)(iii) of the Income-tax Act, 1961, provided the borrowed funds are utilized strictly for business operations. The tax shield benefits (accruing based on the corporate tax rate, e.g., 25.17% for domestic manufacturing companies under Section 115BAA) significantly lower the net effective post-tax borrowing cost.

5. Exit & Extension Fees: If the takeout event is delayed, borrowers utilize negotiated extension rights. Extension fees typically run 0.5% to 1.5% of the outstanding principal per 90-day block, allowing the business to avoid default. If early repayment is executed, lenders may charge an exit fee of 0.5% to 1.5% on the repaid amount, compensating for the early loss of interest yield.

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Module 8: Regulatory Compliance, RBI Restrictions, and IRACP Asset Classification

The Reserve Bank of India (RBI) maintains strict oversight over bridge loans due to their highly concentrated event risk and historical association with speculative capital market activities. Rookies must be aware of several key regulatory restrictions:

1. Total Prohibition on Cooperative Banks: Under the RBI Master Circular on Management of Advances and statutory restrictions, Primary (Urban) Cooperative Banks (PCBs) are totally prohibited from granting bridge loans or interim finance of any nature to any category of borrower. They are also barred from circumventing these rules by calling them short-term loans or unsecured promissory notes if the source of repayment relies on unclosed equity or debt issues.

2. Restrictions on Scheduled Commercial Banks: Commercial banks face strict regulatory boundaries. Under the RBI's credit facilities guidelines, banks are prohibited from extending bridge loans or interim finance against expected capital or debenture issues, except under highly specific Board-approved policies where the corporate borrower is raising equity/bonds with a firm, binding underwriting arrangement from institutional syndicates. All such bridge loans are included in the bank's aggregate Capital Market Exposure (CME) limits and are subject to strict prudential ceilings.

3. Prohibition Against Subsidies and Government Refunds: Banks and NBFCs are prohibited from extending bridge finance against expected receivables, subsidies, refunds, or capital contributions from Central or State Governments (such as general industrial subsidies or budget-linked grants). This is because government disbursements are highly vulnerable to policy changes, administrative delays, or technical audits. Notable exceptions are narrow, specific schemes, such as short-term bridge loans against fertilizer subsidies under the normal Retention Price Scheme (RPS) for a maximum of 60 days, or export duty drawback receivables.

4. IRACP Asset Classification: Like all commercial debt, bridge loans are subject to the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines. If an interest or principal installment is delayed, the account immediately enters Special Mention Account (SMA-0) status on Day 1. The clock progresses to SMA-1 on Day 31, SMA-2 on Day 61, and is downgraded to a Non-Performing Asset (NPA) on Day 91 of consecutive default. Furthermore, if a bridge loan is not formally reviewed, renewed, or repaid within the 180-day technical window from its due date, the loan must be classified as a default NPA, requiring banks to make immediate provisioning charges.

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Module 9: Comprehensive Real-World Case Study (Mumbai SaaS Runway Extension)

To ground these structured trade finance principles in practical reality, we model a detailed case study in Indian Rupees (₹) for an enterprise navigating a closing delay in a major venture capital round.

Vibrant Tech Solutions Pvt. Ltd. (VTSPL) is a Mumbai-based, high-growth B2B SaaS startup with an established global customer base. The company has a monthly operating burn of ₹40,00,000 and is currently in the closing stages of a ₹15,00,000,000 (₹15 Crore) Series B equity round. A binding term sheet has been signed with Munich-based Euro-Venture Capital Partners. However, due to detailed legal due diligence, FEMA regulatory filings, and shareholder approval loops, the equity inflow is delayed and is expected to hit the company's account in exactly 5 months. With only ₹80,00,000 in cash remaining (representing a 2-month runway), VTSPL faces a critical liquidity mismatch. If they do not secure capital, they will be forced to halt development, execute painful layoffs, or accept a distressed, down-round valuation.

To bridge this 5-month gap, the CFO approaches a SEBI-registered Category II Alternative Investment Fund (AIF) specializing in venture debt. The fund sanctions a structured Runway Extension Bridge Loan. The financial parameters of the bridge loan are structured as follows:

- **Sanctioned Loan Quantum:** ₹1,20,00,000 (₹1.20 Crore, representing exactly 3 months of operating burn as a buffer).
- **Indicative Tenure:** 5 Months, with bullet principal repayment aligned to the Series B equity close.
- **Interest Rate:** 20% per annum, calculated on a daily reducing balance basis.
- **Upfront Arrangement/Processing Fee:** 2.0% of the loan quantum = ₹2,40,000 upfront. This fee attracts 18% GST (₹43,200), which VTSPL recovers fully as an Input Tax Credit.
- **Corporate Tax Rate:** 25.17% (under Section 115BAA of the Income-tax Act, 1961).
- **TDS on Interest (Section 194A):** 10% TDS is deducted from interest payments and deposited monthly.

Let us examine the complete mathematical cost model and cash flow schedules under two distinct operational scenarios:

Cost Component	Base Case (5 Months Closing)	Stress Case (3 Months Delay - total 8 Mo)
Advanced Principal Drawdown	₹1,20,00,000.00	₹1,20,00,000.00
Gross Interest Cost (20% p.a.)	₹10,00,000.00	₹16,00,000.00
Upfront Processing Fee (2%)	₹2,40,000.00	₹2,40,000.00
Extension Fee (1.0% on outstanding)	N/A (Repaid on Day 150)	₹1,20,00,000 x 1.0% = ₹1,20,000.00

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Gross Corporate Interest Tax Shield (25.17%)	₹12,40,000 x 25.17% = -₹3,12,108.00	₹19,60,000 x 25.17% = -₹4,93,332.00
Net Post-Tax All-In Financing Cost	₹9,27,892.00	₹14,66,668.00

By securing this bridge, the founders maintain full operational continuity. On Day 150, the ₹15 Crore equity round was successfully completed. Under pre-existing instructions, the incoming capital is routed directly into the escrow account, where the bank sweeps ₹1,30,00,000 to liquidate the principal and interest. If the round slips by 3 months (Stress Case), the total post-tax cost increases to ₹14,66,668. However, compared to the alternative of business insolvency or accepting a down-round that would dilute the founders' equity by an estimated 10% (equivalent to ₹1.5 Crores in value), the bridge loan represents an exceptionally high-value strategic decision.

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Module 10: 10-Question Professional Certification Examination

The following certification examination is designed to test a trainee's comprehension of Bridge Funding structures, underwriting metrics, legal frameworks, and regulatory guidelines in India. Complete all questions, then review the detailed answers and rationales.

Q1. Under Section 77 of the Companies Act, 2013, what is the statutory timeframe for registering a charge in favor of a bridge lender on the MCA portal, and what is the legal consequence of failing to register?
A) 45 days; the charge is void against any liquidator or creditor.
B) 30 days; the charge is void against any liquidator or creditor, leaving the lender unsecured.
C) 60 days; a nominal late fee is charged, but security priority remains intact.
D) 90 days; the lender is downgraded to a sub-standard asset.

1. Correct Option: B
★ Rationale & Analysis: Under Section 77 of the Companies Act, 2013, a company must register any security charge created in favor of a lender by filing Form CHG-1 on the MCA portal within 30 days. Failure to do so renders the charge void against any liquidator or creditor, meaning that in bankruptcy under the IBC 2016, the lender is stripped of security status and downgraded to an unsecured creditor.

Q2. A corporate borrower is paying interest on a short-term Bridge Loan to a non-banking lender. Under Section 194A of the Income-tax Act, 1961, what is the standard TDS rate on interest, and what is the consequence of failing to deduct?
A) 5% TDS; the interest expense is fully deductible but attracts a 1% monthly penalty.
B) 10% TDS; 30% of the interest expense is disallowed as a deduction under Section 40(a)(ia) and penal interest of 1.5% per month applies.
C) 18% TDS; the entire loan is classified as a sub-standard asset under IRACP rules.
D) Zero TDS; interest paid to NBFCs is fully exempt under Section 194A.

2. Correct Option: B
★ Rationale & Analysis: Under Section 194A, corporate interest payments to NBFCs, private credit funds, or non-banking lenders are subject to 10% TDS. If the borrower fails to deduct, Section 40(a)(ia) disallows 30% of the interest expense from business deductions, inflating the corporate income tax liability. Additionally, penal interest at 1.5% per month applies under Section 201(1A).

Q3. Under the Reserve Bank of India (RBI) guidelines for commercial banks, which of the following represents a permissible takeout event for a commercial bank to extend a short-term bridge loan?
A) Expected cash subsidies or capital grants from State Governments.
B) Firm, binding commitments for equity flows or public bond issues, provided the bank satisfies itself that firm arrangements are in place.
C) Speculative capital gains from future commercial property sales.
D) Expected operating surplus of a sick industrial unit under rehabilitation.

3. Correct Option: B
★ Rationale & Analysis: RBI allows commercial banks to extend bridge loans only against expected equity or public bond issues, provided the bank is satisfied that firm, binding arrangements are

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already in place to raise these resources. Lending against speculative government subsidies, unapproved sales, or uncontracted cash flows is strictly prohibited.

Q4. What represents the 'Slip-180' scenario in bridge loan stress-testing, and why is it critical for corporate treasurers?
A) The interest rate steps down by 180 basis points after 6 months of prompt payment.
B) The takeout event is delayed by 6 months, and the treasurer must verify if the business can fund the additional interest and extension fees without triggering default or insolvency.
C) The lender invokes a personal guarantee on Day 180 of consecutive default.
D) The MCA registers a default charge on the company's registration after 180 days.

4. Correct Option: B
★ Rationale & Analysis: The Slip-180 stress-test models a worst-case scenario where the takeout event slips by 6 months (180 days). Corporate treasurers use this model to verify if the business has the cash reserves or cash flow velocity to fund the additional accrued interest and extension fees without defaulting or triggering bankruptcy.

Q5. Which statutory provision governs the absolute assignment of actionable claims (such as contracted escrow receivables) to a bridge lender, and what does it require?
A) Section 126 of the Indian Contract Act, 1872; requires tripartite co-extensive liability.
B) Section 130 of the Transfer of Property Act, 1882; requires a written instrument signed by the transferor.
C) Section 77 of the Companies Act, 2013; requires MCA Form CHG-1.
D) Section 15 of the SARFAESI Act, 2002; requires CERSAI registration.

5. Correct Option: B
★ Rationale & Analysis: Section 130 of the Transfer of Property Act, 1882, governs the absolute transfer or assignment of actionable claims. By executing a written assignment instrument, the borrower legally transfers the right to receive the takeout proceeds directly to the bridge lender, bypassing the borrower's operational accounts.

Q6. Under the RBI's Master Directions on External Commercial Borrowings (ECB), can an Indian startup raise a 6-month foreign currency bridge loan from an overseas venture fund?
A) Yes, under the automatic route for up to USD 3 million per financial year.
B) No, because the ECB framework generally mandates a minimum average maturity period of 3 years, making short-term foreign currency loans legally prohibited.
C) Yes, provided they obtain prior approval from the Ministry of Finance and pay 18% GST.
D) Yes, if secured by a first charge mortgage over domestic real estate.

6. Correct Option: B
★ Rationale & Analysis: Under the RBI ECB framework, any foreign currency borrowing (including loans or optionally convertible preference shares) must meet the Minimum Average Maturity Period (MAMP) of 3 years. Therefore, short-term cross-border loans (under 1 year) are legally prohibited, forcing startups to seek domestic venture-debt or NBFC bridge sources.

Q7. What is the statutory role of the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) in a mortgage-backed bridge loan?
A) It conducts the technical-economic viability study of the project.
B) It automates the calculation of the daily reducing balance interest.

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C) It provides a public registry of security interests created over properties, preventing fraudulent multiple mortgages on the same asset.
D) It files the corporate tax shield returns with the Income Tax Department.

7. Correct Option: C
★ Rationale & Analysis: CERSAI provides a centralized public registry under the SARFAESI Act, 2002, to record security interests created over immovable properties or hypothecated assets. It acts as constructive notice, preventing borrowers from fraudulently raising multiple loans against the same collateral package.

Q8. Under the RBI's IRACP Guidelines, if an interest payment on a Bridge Loan is overdue by 45 days, what is its asset classification?
A) Special Mention Account - 0 (SMA-0)
B) Special Mention Account - 1 (SMA-1)
C) Special Mention Account - 2 (SMA-2)
D) Sub-Standard Non-Performing Asset (NPA)

8. Correct Option: B
★ Rationale & Analysis: Under RBI IRACP norms, delayed credit facilities are classified as SMA-0 (1 to 30 days overdue), SMA-1 (31 to 60 days overdue), SMA-2 (61 to 90 days overdue), and NPA (downgraded on the 91st consecutive day). An account overdue by 45 days is strictly in the SMA-1 category.

Q9. What is the standard GST treatment for a Bridge Loan's pricing components?
A) Processing fees attract 18% GST (with Input Tax Credit benefits) while the nominal interest is completely GST-exempt.
B) Both the processing fees and interest payments attract 18% GST under SAC Code 99711.
C) Interest payments attract 12% GST while processing fees are completely tax-exempt.
D) Bridge loans are completely exempt from all GST under the automatic credit route.

9. Correct Option: A
★ Rationale & Analysis: In India, the provision of credit (interest) is exempt from GST under the CGST Act, 2017. However, the upfront processing, arrangement, or commitment fees represent financial services and are subject to 18% GST, which is fully recoverable via Input Tax Credit.

Q10. Can a Primary (Urban) Cooperative Bank (PCB) grant a bridge loan or interim finance in India?
A) Yes, up to a maximum ceiling of ₹50 Lakhs per corporate borrower.
B) No, the grant of bridge loans or interim finance by PCBs is totally prohibited by the Reserve Bank of India.
C) Yes, if the borrower is graded CB1 to CB4 with a CIBIL score above 750.
D) Yes, provided they obtain a pari-passu charge mortgage over the borrower's inventory.

10. Correct Option: B
★ Rationale & Analysis: RBI's Master Directions on Management of Advances explicitly prohibit Primary Urban Cooperative Banks (PCBs) from granting bridge loans or interim finance of any nature under any nomenclature.

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